



Global AI Trend Tracker

Global Markets Research

1 July 2026

EQUITY: TECHNOLOGY

AI expert call 69 takeaways – InP / Epi wafer

Quick Note

We hosted our AI Expert Call Series #69 on 30 June with an expert specialized in optical laser chips. The expert discussed the technology barriers, competitive landscape, price dynamics for InP and Epi (epitaxial) wafer, and also talked about the supply-demand gap for upstream materials, as well as EML/CW laser chip output. Our key takeaways are below:

Technology barriers for producing InP wafer and Epi wafer

- The core challenges of InP wafer fabrication are the transition from polycrystalline to monocrystalline, as well as cleaning and surface treatment on the wafer, reducing metal residues or impurities as much as possible, according to the expert.
- The key technology barriers of epitaxial growth include: 1) MOCVD equipment performance; 2) the quality of the InP wafer; and 3) the industry know-how regarding materials, processes, and epitaxial structure design. Moreover, epitaxial growth on large-size wafer (i.e. 6-inch) is more challenging, with stricter requirements for equipment and process parameters, according to the expert.

Competitive landscape of InP wafer and Epi wafer fabrication

- The top tier of global InP wafer makers include Sumitomo Electric (5802 JP, covered by Yuji Matsumoto, Buy), JX Metal (5016 JP, covered by Daiki Ban, Neutral), and AXT (AXTI US, Not rated), according to the expert. In the China market, Yunnan Germanium (002428 CH, Not rated) and Vital Materials (Unlisted) are leading players among peers. China players have lower yields on single crystal lifting and their process control was less stable vs global peers, according to the expert.
- Epi wafer makers can be divided into two categories, including third-party foundry players like IQE (IQE LN, Not rated), Landmark (3081 TT, Not rated), and IDM vendors such as Coherent (COHR US, Not rated) and Lumentum (LITE US, Not rated). IDM vendors have more bargaining power vs foundries, according to the expert.
- The main Chinese Epi wafer players include Huaxing Laser (Unlisted), WaferChina (Unlisted) and EPIHOUSE (Unlisted), which operate independently as Epi wafer manufactures. Domestic manufacturers still fall behind the global peers in terms of stability and yield rates, according to the expert.
- The development of large-size Epi wafer in China is still in the early stage. Currently, Wuhan Jiufengshan Laboratory (unlisted) is the key player to develop six-inch Epi wafer, according to the expert.

Supply-demand gaps on InP / Epi wafer and pricing trend

- Due to the export control between China and Japan, the expert noted that the larger size (3-Inch and above) InP wafer, which were primarily provided by global players, are in shortage for Chinese customers, according to the expert.
- Due to tight supply, the 2-Inch InP wafer price in China has increased from CNY500-600 per wafer from end-2025 to CNY850-880 now; 3-inch InP wafer has increased from CNY1800 in end-2025 to CNY3200 for now, according to the expert.
- 2-inch EML Epi wafers have increased from CNY40k+ per piece to CNY60-70k from end-2025 to now; while 3-inch CW Epi wafers have increased from CNY50k to CNY70k+ on the same period.
- Domestic wafer prices are relatively lower than overseas; for instance, 2-inch Epi wafer prices range from USD10-20k per wafer per piece in the overseas market (vs CNY60-70k

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in China).

MOCVD equipment and EML / CW laser output

- Aixtron (AIXA DE, Not rated)'s G4 equipment monthly output for EML is around 350-400 pieces, while CW's monthly output increases by about 20% vs. EML, as CW laser requires fewer round of Epitaxy growth process, according to the expert.
- According to the expert, one 2-Inch Epi wafer could produce a maximum of 10k units of 100G EML, but considering the cut loss, yield rate, and packaging loss, the actual output is only 2k+ per wafer.

Appendix A-1

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